India report a 36% year-on-year rise in second-quarter standalone net profit to ₹1,026.8 crore, from ₹753.2 crore a year earlier. Net sales rose 20% to ₹6,788.3 crore. The maker of Maggi noodles and Nescafe coffee said expenses rose 17% during the July-September quarter.

Analysts at Axis Securities remain constructive on Nestlé India's long-term prospects, citing deeper rural penetration, continued innovation and expansion into emerging segments. However, they expect growth to moderate in the second half of this financial year, with "rising inflationary pressures remaining a key near-term concern".

Homegrown Godrej Consumer Products saw standalone net sales rise 13% year-on-year to ₹2,653 crore, with underlying volumes rising 7% in July-September. However, cost pressures, coupled with exceptional items, led to a 5% decline in standalone profit to ₹337 crore in the second quarter, from ₹356 crore a year earlier.

On a consolidated basis, revenue surged 19%, while net profit rose 14%. "The input cost environment remained significantly challenging during the quarter," said Aasif Malbari, managing director and CEO of Godrej Consumer.

The company pointed in particular to soaps, which had seen significant price increases and reductions in grammage.

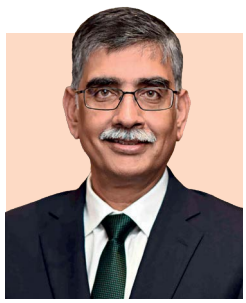
FMCG companies also continue to push their premiumisation strategy across portfolios, which aids margins and helps reach out to new consumers. For instance, HUL has launched premium body serum lotions and Godrej Consumer Products has entered the premium hair colour segment under a new brand Hair Lab.

HDFC Securities analyst Nitin Gupta expects stronger second-quarter revenue growth across FMCG companies, supported by a low base and incremental price hikes. Margin performance, however, is likely to remain subdued because of inflationary pressures.

HUL executives also warned that elevated input costs could require further price increases and continued cost savings.

"We have taken pricing to cover all the input costs. Input costs remain elevated. For us, the focus is to ensure that we do the right amount of pricing to cover costs, go behind savings, whether in procurement and supply chain, efficiencies overall, so that we have the right balance between volume and price," said Nair.

Despite the price increases, Nair remains confident that sales growth will stay resilient.



"We had guided for a 50-70 bps expansion (in margin) when we started the year. We have seen margin pressure coming through the year, but we have also taken price increases"

SUNIL D'SOUZA
MD & CEO, Tata Consumer Products

"We are talking about detergents, soaps, tea, skincare, shampoos... These are everyday essentials and tend to be essentially low put-down price. So, at an overall level, these products tend to be less elastic to pricing," opined Nair.

Analysts are more cautious about the sector's outlook.

Gupta of HDFC Securities warned that earnings pressures could intensify in the coming quarters if costs remain elevated. "With sustained cost headwinds, we may see growth moderation ahead," he noted.

These concerns have weighed on FMCG stocks, which have faced sustained selling pressure. HUL shares fell 2.2% on October 28 to close at ₹1,815.80 on the NSE, taking their year-to-date decline to nearly 22%. Over the same period, Tata Consumer Products fell 15%, Nestlé India 10%, Emami 29%, and Godrej Consumer more than 30%. By comparison, the benchmark NSE Nifty 50 index fell 13%.

"Despite low double-digit sales growth, earnings growth is unlikely to be exciting or surprise positively for most of the names," said JM Financial Institutional Securities analyst Mehul Desai, outlining sector expectations for July-September.

The festive season and the course of rural demand after a weak monsoon will be key to sales growth in the coming quarters. Crude oil prices remained firm at around $115 towards the end of October. A prolonged West Asia conflict and persistently high oil prices could put further pressure on FMCG margins.

Clearly, the sector's next phase will be less about how much companies sell and more about how well they protect their margins. BT

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